

DEPARTMENT OF VETERANS AFFAIRS

**SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR
CERTAIN COMMERCIAL ITEMS IN ACCORDANCE WITH FAR 13.5**

Acquisition Plan Action ID: [REDACTED]

1. **Contracting Activity:** Department of Veterans' Affairs (VA), Network Contracting Office (NCO) 08, Tampa Commodities & Services Branch, located at 8875 Hidden River Parkway, Suite 160A, Tampa, FL 33637.

Funding ID: [REDACTED]

2. **Nature and/or Description of the Action Being Processed:** This procurement is for **Erbe Elektromedizin GmbH ("Erbe") (BRAND NAME ONLY) Electrosurgical System** and associated equipment in accordance with FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501, Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format detailed in FAR 6.303-2. ProAim Americas, LLC (SB) is the exclusive authorized reseller of **Erbe Elektromedizin GmbH ("Erbe")** Electrosurgical equipment. This requirement is anticipated as a new Sole Source Firm-Fixed type contract to be awarded to ProAim Americas, LLC upon determining the price to be fair and reasonable.
3. **Description of Supplies/Services Required to Meet the Agency's Needs:** James A. Haley Veterans' Hospital (JAHVH), Gastroenterology Department has a requirement to replace end-of-life Electrosurgical Systems (Erbe Vio300D/Erbe APC) and Electrosurgical Generators (Olympus ESG100) with ErbeJet2, Erbe APC, and Erbe VIO3 Electrosurgical Systems and expand procedural abilities for the Gastroenterology Clinic. The Gastroenterology Department is currently using the VIO3 and APC3 systems while possessing all necessary Erbe Brand accessories already on inventory and require no additional training efforts. Estimated cost for required Electrosurgical Systems is [REDACTED]
4. **Statutory Authority Permitting Restricted Competition:** FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

- ☒ (X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements
- ☐ () Unusual and Compelling Urgency
- ☐ () Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services
- ☐ () International Agreement
- ☐ () Authorized or Required by Statute
- ☐ () National Security
- ☐ () Public Interest

5. **Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):** Currently, Erbe Brand Name Electrosurgical equipment is being used in JAHVH Digestive Diseases Department. Erbe is the original equipment manufacturer (OEM) and the exclusive authorized reseller of such products in the U.S. is ProAim Americas, LLC (SB). The Sole Source procurement is being conducted on the basis of (1) standardization with existing equipment used at JAHVH and satellite medical facilities. The medical staff are familiar with Erbe Electrosurgical devices and changing brands would unnecessarily increase the risk of patient injury, as medical personnel rotate between facilities. (2) Use of another brand is prohibitive due to concerns related to training and patient safety. The medical staff is trained on the ERBE brand of electrosurgical equipment and must have their competency affirmed on a periodic basis. Using non-Erbe brand of equipment will cause the facility to revise its training program and to re-establish competency for all users on multiple devices, in different locations. No competing device is so advantageous as to warrant changing brands and causing the facility to conduct repetitive training actions to support a new device. Standardization for the purpose of ensuring patient safety was supported under GAO ruling B-407223.2. Standardization is further supported in the peer-reviewed journal article titled, "Evaluating and Predicting Patient Safety for Medical Devices with Integral Information Technology."

Only one source can provide Erbe Electrosurgical devices required due to the unique and highly specialized nature of the equipment. There are proprietary features and technologies utilized by the Electrosurgical devices such as thermoSEAL® (TSM), softCOAG®, FiAPC®, endoCUT®. The National Institute of Health provided information regarding these proprietary technologies. TSM is twice as fast as the BiClamp mode used in sealing bipolar vessels, which helps in significantly reducing operation times. SoftCOAG® is a coagulation mode unique to VIO electrosurgical units (ERBE Elektromedizin GmbH, Germany). FiAPC® single use probes are used with the Erbe VIO3 and can immediately be used in the Operating Room eliminating the need to prepare the connecting cable, which means no preparation costs for the cable and reduces risk of cross-contamination. Erbe VIO3 with FiAPC® is the only system designed to simplify probe setup. The advantage of endoCUT® mode is that it offers a safety advantage over conventional blended cut mode for pancreatitis after endoscopic sphincterotomy (EST) by reducing hyperamylasemia. These technologies work together to significantly reduce surgical operating times and enhance procedural efficiency.

Additionally, Erbe Workstations utilized at JAHVH are only compatible with Erbe brand Electrosurgical medical devices. The existing equipment is still within its useful life and not in need of total replacement. To purchase other than Erbe Electrosurgical devices would result in a loss of equipment resources as this equipment is not interchangeable with non-Erbe brand equipment. Finally, Erbe does not allow subcontractors to perform repairs/maintenance as this will void the manufacturer's warranty. Accordingly, ProAim Americas (SB) is the authorized reseller of Erbe medical devices and anticipated awardee on a sole source basis with no difference in price when compared to the manufacturer's pricing.

6. **Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:** On February 4, 2025 an Intent to Sole Source (Notice ID 36C24825Q0347) was posted on Contract Opportunities to ensure there are no other authorized resellers of Erbe medical equipment. The Intent to Sole Source closed on February 10, 2025 at 10:00 am EST and there were no interested vendors to respond to the posting, which confirms the need to issue a Sole Source solicitation to ProAim Americas, LLC (SB).

7. **Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:** ProAim Americas, LLC provided pricing information in the total amount of [REDACTED]. The anticipated steps to determine price to be fair and reasonable is comparison to historical pricing by utilizing ADDS UP (Analytics, Data and Decision Support Unified Platform). Evaluation of price will be conducted in a simplified manner that maximizes efficiency and economy and minimizes burden and administrative costs for both the Government and industry IAW FAR 13.500(a). Determination of price fair and reasonableness shall be documented prior to contract award.
8. **Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:** Market research revealed only one (1) source available, ProAim Americas, LLC (SB) as Erbe does not directly sell medical devices to the Government. The Original Equipment Manufacturer, Erbe (Large Business) has an exclusive government distributor agreement with ProAim Americas, LLC, which states "Please use this letter as Erbe USA Inc.'s ("Erbe") confirmation that PROAIM Americas, LLC. (DUNS: 962568338) ("PROAIM") is Erbe's Government Distributor." Based on these results it is in the best interest of the Government to solicit this requirement as sole source to ProAim Americas, LLC.
9. **Any Other Facts Supporting the Use of Other than Full and Open Competition:** N/A
10. **Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:** N/A.
11. **A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:** For all subsequent requirements of Electrosurgical devices market research will include reaching out to Erbe to confirm if there have been any updates to their compatibility requirements to include non-Erbe brands that are compatible with JAHVH's current inventory of Erbe brand Electrosurgical equipment. As of now, only Erbe brand Electrosurgical devices are compatible with the current inventory of Erbe brand equipment.
12. **Requirements Certification:** I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

[REDACTED]
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13. Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

- a. **Contracting Officer or Designee's Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

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- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

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